



RSM333 Final Group Project

Metro Inc.

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Agenda

01

Introduction and Company Overview

02

Financial Analysis & Firm Value Drivers

03

Recommendation for Value Creation

Industry and Company Overview



Metro Inc. Is one of the five large Canadian companies competing in the oligopolistic **Canadian grocery industry**.

Competitive Landscape

Trends

Products & Customers



LifeSmarts
Learn it. Live it.



- High Inflation and cost pressures
- Buy Canadian movement due to US tariffs
- Popularity surge in online grocery delivery

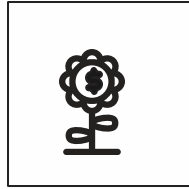
Driver 1: Maintain Financial Flexibility



Debt Structure

Only two major bonds

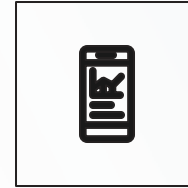
- CAD 450M due in 2027
- CAD 500M due in 2029



Interest Rate

Fixed Interest rate: 3.7%

- Protects the company from rising interest rates
- Makes interest payments predictable



Capital Structure

Debt-to-Equity: 0.41

- Low Debt
- Refinance debt without major pressure

Driver 2: Using Low WACC to Create Firm Value



Metro's lower WACC provides management with cost of capital advantage over peers



Financial Evidence

- **Metro WACC:** 4.08%
- **Peers average:** 4.84%
- **Implication:** lower investment hurdle rate



Management Implications

- Accept more positive-NPV projects
- Invest in strategic growth opportunities
- Use low-cost capital to raise future cash flows

Where management can invest:

Store upgrades | digital capabilities | supply chain efficiency | acquisitions

Environmental Priorities

- ## Social Commitments

- Food donation and community partnerships
- Strong Equity Diversity and Inclusion Focus

- ESG embedded in board and executive oversight
- Annual Corporate Responsibility Reports
- Responsible procurement standards
- Supplier assessments

Valuation Takeaway

Metro Inc. DCF Valuation	
Share Price as of December 3	98.79
Shares outstanding	211.7

Implied Share Price		Multiple	GRIP
Implied Equity Value	32322.70	152.68	215.58
Implied Upside/Downside		55%	118%

4 Key Reasons



Low WACC



Stable & Predictable
Cash Flows



Conservative
Long-term Growth



Supply Chain
Investment

Future Direction #1

Longo's Acquisition

metro

Strategic Benefits

Premium grocery with strong brand equity + Enhance prepared foods and private label capabilities + Strengthen overall banner portfolio

Valuation Content

Comparable
Empire-Farm Boy
14x EDITDA

Metro Implied
share price:
\$152.68

➔ 55% upside
= market
undervaluation

Synergies & Value Creation



Procurement scale



Lower COGS
Efficient distribution
network



Higher margin private label expansion



Accelerated e commerce via Grocery Gateway



Future Direction #2

Internal Growth Project

metro



Project Focus

Expand prepared foods and private label production capacity



Supports higher margin revenue streams



Financial Profile

Requires...

- ☐ CAPEX
- ☐ Increased depreciation
- ☐ Incremental working capital
- ☐ Higher ongoing operating costs

As a result...

Generates positive NPV, but smaller in scale



Strategic Limitations

- Slower impact vs acquisition
- Limited reach
- Does not shift competitive position
- No immediate digital or banner portfolio benefits

Metro Inc. (XTSE: MRU)

- ✓ Financial stability
- ✓ Low WACC
- ✓ 55% Undervaluation



Recommendation:



Acquisition of Longo's



A photograph of a modern Metro grocery store building with a large red 'metro' logo and 'Eagleson Road' text above the entrance. The building has large glass windows and a red awning. In the foreground, there is a paved parking lot with yellow lines. The word 'Appendices' is overlaid in the center in a large, bold, dark red font. Decorative elements include a blue horizontal bar in the top right, a brown rounded shape in the bottom left, and red diagonal lines in the bottom right.

metro
Eagleson Road

metro.ca

Appendices

Metro's historical and projected financial data from years 2021 to 2031

Forecast Financials (DCF Table)											
Fiscal Years Ending September 30th	F2021A	F2022A	F2023A	F2024A	F2025A	F2026E	F2027E	F2028E	F2029E	F2030E	F2031E
Period	-4	-3	-2	-1	0	1	2	3	4	5	6
Revenue	18283.00	18888.90	20724.60	21219.90	22006.70	22677.66	23369.33	24082.09	24816.59	25573.50	26353.49
% Growth	n.a	3.31%	9.72%	2.39%	3.71%	3.05%	3.05%	3.05%	3.05%	3.05%	3.05%
Less: COGS and other expenses	16562.20	17069.90	18756.00	19233.50	19941.00	20587.50	21241.59	21946.53	22662.89	23400.80	24166.88
% Growth	n.a	3.07%	9.88%	2.55%	3.68%	3.24%	3.18%	3.32%	3.26%	3.26%	3.27%
EBITDA	1720.80	1819.00	1968.60	1986.40	2065.70	2090.16	2127.74	2135.56	2153.70	2172.70	2186.62
% Margin	9.41%	9.63%	9.50%	9.36%	9.39%	9.22%	9.10%	8.87%	8.68%	8.50%	8.30%
Less: D&A	478.30	503.30	525.20	570.40	594.40	589.62	607.60	626.13	645.23	664.91	685.19
EBIT	1242.50	1315.70	1443.40	1416.00	1471.30	1500.54	1520.14	1509.43	1508.47	1507.79	1501.43
% Margin	6.80%	6.97%	6.96%	6.67%	6.69%	6.62%	6.50%	6.27%	6.08%	5.90%	5.70%
Tax Rate	26.32%	26.36%	22.92%	25.47%	22.78%	24.77%	24.46%	24.08%	24.31%	24.08%	24.34%
Less: Taxes	327.06	346.83	330.87	360.65	335.12	371.69	371.83	363.47	366.73	363.07	365.46
EBIAT	915.44	968.87	1112.53	1055.35	1136.18	1128.85	1148.31	1145.95	1141.74	1144.71	1135.97
Plus: D&A	478.30	503.30	525.20	570.40	594.40	589.62	607.60	626.13	645.23	664.91	685.19
Operating cash flow	1393.74	1472.17	1637.73	1625.75	1730.58	1718.46	1755.91	1772.09	1786.97	1809.63	1821.16
Net Working Capital	268.6	230.8	442.8	188.4	607.2	484.32	462.62	533.06	529.98	541.15	565.36
NWC as a % of revenue	1.47%	1.22%	2.14%	0.89%	2.76%	2.14%	1.98%	2.21%	2.14%	2.12%	2.15%
Add/Less: Changes in Working Capital	n.a	-37.80	212.00	-254.40	418.80	-122.88	-21.71	70.44	-3.08	11.17	24.21
Capex as a % of Revenue	2.57%	2.63%	2.80%	2.27%	1.99%	2.45%	2.45%	2.45%	2.45%	2.45%	2.45%
Less: Capex	469.20	497.30	580.70	482.40	438.20	555.60	584.23	602.05	620.41	639.34	658.84
Unlevered Free Cash Flows (FCFF)	n.a	1012.67	845.03	1397.75	873.58	1285.74	1193.38	1099.60	1169.64	1159.11	1138.11
PV of Free Cash Flows	n.a	1141.6	915.3	1454.7	873.6	1235.4	1101.7	975.4	996.9	949.2	895.5

Calculation of Terminal Value and Implied share price

Terminal Value		Multiple	GRIP
Terminal EBITDA / FCF		2186.6	1138.1
Terminal Multiple / Growth Rate		12.37	1.45%
Terminal Value		27048.4	43970.1
PV of Terminal Value		21283.4	34598.4
PV FCF		6154.2	6154.2
Enterprise Value		27437.6	40752.6
(-) Debt		4867.2	4867.2
(+) Cash		17.9	17.9
Implied Equity Value		32322.7	45637.7
Implied Share Price		Multiple	GRIP
Implied Equity Value	32322.70	152.68	215.58
Implied Upside/Downside		55%	118%

Sensitivity Analysis

Sensitivity Analysis						
PV FCF	WACC					
	152.68	3.10%	3.60%	4.08%	4.60%	5.10%
	6400.00	159.69	156.65	153.84	150.86	148.11
	6600.00	160.63	157.59	154.79	151.80	149.05
	6154.20	158.53	155.48	152.68	149.70	146.95
	7000.00	162.52	159.48	156.68	153.69	150.94
	7200.00	163.47	160.42	157.62	154.64	151.89
Terminal EDITDA						
Terminal Multiple	152.68	1771.15	1967.94	2186.60	2405.26	2645.79
	10.02	118.11	125.44	133.58	141.72	150.68
	11.13	125.44	133.58	142.63	151.68	161.63
	12.37	133.58	142.63	152.68	162.73	173.79
	13.61	141.72	151.68	162.73	173.79	185.96
	14.97	150.68	161.63	173.79	185.96	199.34

Comparables Analysis

Comparable Company Analysis (\$M)									Multiples		
Company	Ticker	Market Cap	Shares Outstanding	Share Price	Enterprise Value	Revenue	Net Income	EBITDA	EV/Revenue	EV/EBITDA	P/E
Loblaws Companies Limited	TSX:L	75,280.40	1,169.30	64.38	90,708.40	63,903.00	2,667.00	5,635.00	1.4x	16.1x	28.2x
Empire Company Limited	TSX:EMP.A	11,466.90	226.70	50.58	19,189.90	31,858.00	159.00	2,373.00	.6x	8.1x	72.1x
Metro Inc.	TSX:MRU	20,499.1	211.7	96.8	25,366.7	22,175.4	983.7	1,865.6	1.1x	13.6x	20.8x
Minimum									.6x	8.1x	20.8x
25th Percentile									.8x	10.1x	39.2x
Median									1.0x	12.1x	50.2x
75th Percentile									1.2x	14.1x	61.1x
Maximum									1.4x	16.1x	72.1x
Implied Valuation											
Minimum									13357.51	15086.67	20499.10
25th Percentile									17887.47	18822.80	38560.73
Median									22417.42	22558.92	49354.93
75th Percentile									26947.37	26295.04	60149.13
Maximum									31477.32	30031.16	70943.33
Equity Value											
Minimum									8489.91	10219.07	20499.10
25th Percentile									13019.87	13955.20	38560.73
Median									17549.82	17691.32	49354.93
75th Percentile									22079.77	21427.44	60149.13
Maximum									26609.72	25163.56	70943.33
Share Price											
Minimum									40.10	48.27	96.83
25th Percentile									61.50	65.92	182.15
Median									82.90	83.57	233.14
75th Percentile									104.30	101.22	284.12
Maximum									125.70	118.86	335.11